

POL-007

AI Governance & Model Risk Policy

Digital Banking & Payments | Group Functions

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About this policy: This policy explains how KBC governs its AI systems responsibly — classifying them by risk, testing them for fairness, and ensuring every AI-assisted decision can be explained to the people it affects.

How to use this policy

This policy is written for all KBC employees. It explains what we stand for, what is expected of you, and how to handle situations you may encounter in your day-to-day work. You do not need to be a legal or compliance expert to read it. If you are ever uncertain, the right thing is always to ask. Contact details for your Compliance team are at the end of this document.

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1. Introduction

Artificial intelligence is transforming the way KBC serves its customers. KATE, our AI digital assistant, resolves the majority of customer enquiries autonomously. AI tools help us assess credit risk, detect fraud, manage investment portfolios, and personalise customer communications. These capabilities are genuinely valuable — but they also carry risks that must be managed carefully.

This policy sets out KBC's framework for governing AI systems responsibly. It applies whether you are building AI tools, using them in your daily work, or overseeing processes influenced by AI outputs.

2. Who This Policy Applies To

This policy applies to all KBC employees who build, deploy, manage, or use AI systems in their work. It also applies to senior managers accountable for business processes supported by AI.

3. Why AI Governance Matters at KBC

AI systems can make mistakes — and the mistakes they make can be systematic. A biased training dataset can cause an AI model to treat certain customer groups unfairly, consistently and at scale, without any individual making a conscious discriminatory decision. A model that worked well yesterday may behave unpredictably when circumstances change.

The scale at which AI operates — making millions of decisions a day — means that a flaw that would be a minor issue in a manual process becomes a significant harm when amplified by AI. This is why we govern our AI systems rigorously, and why every employee who works with AI has a responsibility to use it thoughtfully.

4. How KBC Classifies Its AI Systems

Not all AI systems carry the same risk. KBC classifies its AI systems into four categories:

- **High-risk AI systems** are those that could significantly affect individuals' access to financial services — credit decisions, insurance underwriting, investment advice. These require the most rigorous governance.
- **Limited-risk AI systems** interact with customers but do not make consequential decisions — for example, KATE's general customer service responses. These require transparency disclosures.
- **Standard-risk AI systems** support internal processes without direct customer impact.
- **Minimal-risk AI systems** are low-stakes tools with no significant adverse impact potential.

KATE's credit recommendation and mortgage affordability assessment features are classified as high-risk. KATE's general customer service features are classified as limited-risk. The distinction matters because different standards apply.

5. What We Require of High-Risk AI Systems

KBC applies the following requirements to all high-risk AI systems before deployment and throughout their operational life:

- **Conformity assessment.** Before a high-risk AI system is deployed, we complete a formal assessment confirming it meets our quality, fairness, and transparency standards. We register these systems with the

relevant EU authority.

- **Explainability.** Customers who receive a decision influenced by a high-risk AI system have the right to understand the key factors that drove it, explained in plain language.
- **Human oversight.** High-risk AI systems support human decision-making; they do not replace it. If an AI system recommends an outcome that does not seem right, the human must investigate — not simply defer to the machine.
- **Transparency with customers.** Customers interacting with KATE must know they are talking to an AI. We make this disclosure at the start of every interaction.

6. How We Validate and Monitor AI Models

AI models are validated by an independent team before deployment and re-validated following material updates. Validation assesses whether the model is doing what it is supposed to do, whether its predictions are accurate and stable, and whether it is producing fair outcomes across different customer groups. After deployment, models are monitored continuously for drift — gradual degradation in performance as the world changes in ways the model was not trained to anticipate.

7. Fairness and Avoiding Bias

KBC conducts quarterly bias testing on all high-risk AI models. This testing checks whether the model produces systematically different outcomes for different demographic groups — by gender, age, nationality, or postcode. Any bias identified is investigated, understood, and addressed. Bias in AI models often arises not from malicious intent but from biased historical data. Proactive bias testing matters because we cannot assume an AI system is fair simply because it was built with good intentions.

8. Your Responsibilities

- If you use AI tools, understand what they are telling you and retain your own judgment.
- Never override a human decision simply because an AI tool produced a different output.
- If you notice an AI tool producing unusual, inconsistent, or apparently unfair outputs, report it.
- If you build or manage AI systems, ensure they are registered, validated, and monitored.
- Never deploy an AI system in a customer-facing context without completing the required governance process.

9. Raising Concerns About AI

If you have concerns about the behaviour, fairness, or security of any AI system used at KBC, raise them with your line manager or directly with the Group CIO's office. AI concerns are treated seriously and investigated promptly.

10. Getting Help

- **Group CIO / AI Governance Team** — for AI governance questions.
- **KBC Compliance Advisory** — for policy guidance.
- **KBC Ethics & Compliance Helpline** — for confidential concerns.

11. Policy Review

This policy is reviewed annually and following material updates to AI regulation or significant AI incidents.